

Hi all,

With Midterm 2 around the corner, here are some (hopefully) helpful tips for the T/F/U section.

1. Identify what you are being asked to determine whether it is true or false.
 - a. Some questions want you to assume things, like in the following statement: "If Mexico offered tax breaks to highly skilled foreigners who decide to move and work in Mexico, it could attract a lot of highly skilled US workers." Here, you should assume that the hypothetical part of it is true (Mexico offering tax breaks to foreigners), and not argue about whether the political situation in Mexico would allow for such a tax break. Rather, you are being asked to determine whether such a tax break would attract high-skilled US workers.
 - b. Other questions have multiple statements that could be true or false. For instance, the statement "Empirical studies have found that aggregate capital gains income reported on U.S. tax returns increases strongly and immediately after capital gains tax rates fall. This suggests that individuals' savings decisions are very sensitive to capital gains taxes." Here, you need to determine (1) if the empirical studies actually find what the statement is saying (they do not, this is False) and (2) if the results are being interpreted correctly (they are not).
2. The T/F/U usually reference a specific topic or concept from the course— your first step is to recognize the relevant topic, so you can identify what was discussed in class, the relevant empirical literature, etc. For example, if you are asked what the effects might be on labor supply if the government "provided a \$0.25 subsidy per dollar earned on the first \$10,000 that a worker makes each year, which phases out gradually after some threshold," recognize that this is asking you to think of something similar to the EITC. Thus, you should be thinking about substitution and income effects; extensive and intensive margins of labor supply; and the empirical research on the EITC's effects.
3. Using material *from the course* is paramount to answering these questions! Your answer does not need to be long and complicated; the very best answers often succinctly answer these questions with appropriate references to theoretical and empirical concepts covered in class.

I have taught this course for Prof. Saez in the past, and his website is still accessible [here](#). His past midterms, finals, and problem sets are available, in addition to solutions. The courses are fairly similar, so if you want more practice problems, feel free to use those resources.

Lastly, we only have four weeks of section left. Our next three sections will all focus on Social Insurance, but our last section will be a review. Will send more info on that as the date approaches.

Best,

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